KEAN | MILLER LLP

March 13, 2024

Personal and Confidential[1]
Attorney-Client Privilege

MEMORANDUM

TO: Charlie Lestage

FROM: Erin L. Kilgore
Mary Love

RE: Board of Directors Investigation
Our File No.: 18958-1

Dear Charlie,

We are writing to provide our investigation report concerning allegations of alleged misconduct by Beauregard Electric Cooperative Inc.'s (sometimes referred to herein as "BECi," the "Company" or the "Cooperative") Board of Directors (sometimes referred to herein as the "Board" or, individually, a "Director"). In summary, after investigation, some of the Allegations (defined below) were substantiated; other Allegations were substantiated in part, inconclusive, or not substantiated. Nevertheless, in light of the various obligations and duties owed by BECi and the Board to the Cooperative, its employees, and its members, under a host of different sources (including applicable laws, regulations, BECi's bylaws, and BECi's policies), it was prudent for BECi to investigate the Allegations once they were reported to and received by BECi's agents. In addition to facts related to the Allegations, during the course of the investigation, multiple ancillary issues of concern were identified. Significantly, our investigation revealed no evidence to substantiate concerns of current or ongoing theft or criminal activity. However, the overwhelming majority of witnesses described behavior, actions, and/or conduct by certain Directors that, if true,

[1] Multiple witnesses expressed concerns about confidentiality and possible retaliatory action against them if their names are associated with the investigation. As part of our preliminary instructions, we told each witness that every effort would be made to maintain confidentiality to the extent possible, including anonymizing our report to the extent if possible, and we have endeavored to do so in this report. The names of the individuals with whom we met will be redacted prior to dissemination of the report to the Board. Further, it is the Investigation Team's understanding that any discussion regarding the findings of the investigation will occur in Executive Session, in keeping with La. R.S. 12:409(G)(2).

would violate BECi's policies, potentially breach obligations owed by the Directors to the Cooperative, and cause potential risk of exposure for breach of their fiduciary duty.

BACKGROUND

BECi, through its current General Manager, Brian Zelenak, received various reports of alleged misconduct by BECi's Board of Directors. On January 11, 2024, Mr. Zelenak presented a list of allegations to the Board while in Executive Session. The list of allegations (the "Allegations") is attached as Exhibit 1 and includes the following:

1. Allegation that a Board member threatened an employee's future employment because they did not hire the Board member's relative;
2. Allegation that a Board member threatened an employee's future employment because of the employee's actions on BECi's Facebook page;
3. Allegation that both past and current Board members directed BECi staff to build them outdoor furniture such as swings and picnic tables at BECi's woodworking shop on Company time and that employees were also "directed to deliver" on Company time, but it was unclear whether the Board members bought the materials or the materials were charged to members;
4. Allegation that a Board member received free electricity for multiple years for multiple (possibly up to 4) outdoor lights that were installed on their premise; BECi has no record of selling the light fixtures to that Board member or installing them, "nor was there any record of the Board member ever paying for the electricity they used";
5. Allegation that a Board member received "preferential treatment" with regard to disconnection for non-payment or payment history; the Board member was not disconnected per "Cooperative Policy" while serving on the Board because they were a Board member;
6. Allegation that Board members have called system operations and directed them to move linemen from where they were working on outages to restore power to that Board member's relatives, family, and close friends before other members; this is inconsistent with BECi's restoration policy; and
7. Allegation that at least one Board member is encouraging linemen to unionize in order to blame it on the new General Manager.

Mr. Zelenak also told the Board he received information that some retired employees are interested in "speaking up and disclosing what they know about some current and previous board members' actions while they were employed at BECI and the Board members was serving on the BECi board" and that he was asked by a BECi member and a BECi employee why BECi allows employees who were terminated from BECi for cause to serve on the Board.

In response to the Allegations, BECi engaged outside counsel, Erin Kilgore and Mary Love of Kean Miller LLP (the "Investigation Team"), to investigate the Allegations. The Investigation Team reviewed the following documents in connection with the investigation: (i) documents

provided by BECi (personnel records of certain employees and former employees; records of disconnect/pay history of a particular Director; recordings of telephone calls between BECi employees and various Directors; BECi employee handbook; Board governance materials (it is the Investigation Team's understanding that these materials were prepared/disseminated by the National Rural Electric Cooperative Association ("NRECA")); BECi Board policies; and copies of screenshots and printouts of Facebook posts, text messages, and other correspondence); (ii) copies of screenshots and printouts of Facebook posts, text messages, and other correspondence provided by employees in connection with matters discussed during their interviews; and (iii) BECi's bylaws, which the Investigation Team pulled from BECi's website.[2]

INVESTIGATIVE FINDINGS

Preliminary Observations. As a preliminary matter, the majority of the BECi employees interviewed were forthcoming with their recollections, comments, criticisms, and concerns, and they provided credible information and insight. In contrast, some employees in vice president/managerial positions and/or who are/were closer to retirement at the time of their interviews appeared more guarded and/or less forthcoming during their interviews, and some of their recollections and denials were directly contrary to the specific information provided by other employees. This distinction was particularly noteworthy when credibility determinations had to be made to reconcile the information provided. Below, when relevant or where the Investigation Team received conflicting information, the Investigation Team noted their observations related to witness credibility.

Secondly, we are cognizant of the fact many BECi employees and many Directors worked and/or served long tenures for BECi, and many Allegations contain no temporal scope or indication of when the underlying facts allegedly occurred. This made it difficult to obtain facts or evidence to support or refute some of the Allegations. Consequently, the Investigation Team was unable to make factual findings with respect to certain Allegations, as noted below. However, based on the information provided, it appears those Allegations occurred in the past (if they did, in fact, occur as alleged), and the alleged issues/actions are not continuing.

Finally, we note that during the course of several interviews, many employees stated they are proud to work for BECi and view the workforce as a "family," but they said they are upset by the current situation, which they blame on the Board and certain Directors' Facebook activity. As will be discussed below, there was consensus among the BECi employees we interviewed that the

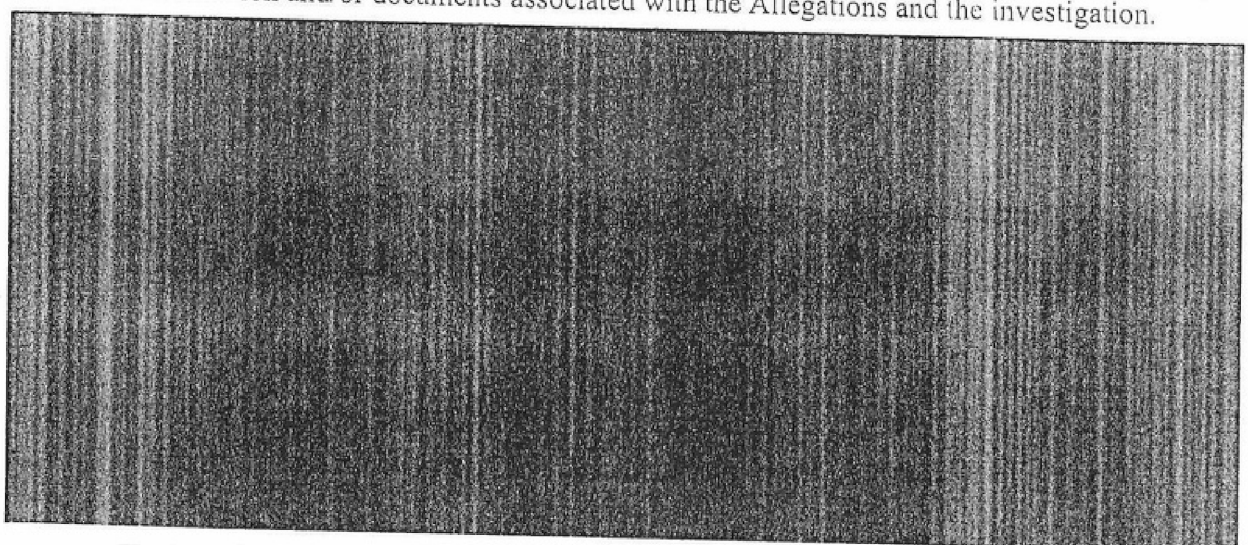
[2] During the course of investigating the Allegations, a Director requested that the Investigation Team review an alleged discrepancy between (i) questions that employees anonymously submitted prior to a meeting between the BECi employees and Directors; and (ii) the questions compiled by Sarah Lott (Human Resources Manager) and read aloud by Mr. Lestage during the meeting. Although outside the scope of this investigation, the Investigation Team reviewed both lists of questions and found no major discrepancies between the two lists. The questions that were not included on the list Mr. Lestage read aloud during the meeting were duplicative of questions that were already on the list. Accordingly, all substantive concerns and questions submitted by BECi employees were presented at the aforementioned meeting.

current social media activity is an ongoing problem and must be remedied for the sake of BECi's future.

Scope of Interviews. The Investigation Team conducted 33 interviews with 30 individuals. The interviews were conducted in person, via Zoom or Microsoft Teams, or by telephone, based on the witness' availability and/or personal preference.

The Board's counsel, Mr. Lestage, emailed all Directors on January 31, 2024, with copy to the Investigation Team, and asked each Director to contact the Investigation Team to schedule a time to visit. The majority of Directors contacted the Investigation Team, but a couple did not. On February 6, 2024, Mr. Lestage spoke with Mr. Hickman and was told Mr. Hickman would be unavailable the remainder of that week, which Mr. Lestage relayed to the Investigation Team. On February 15, 2024, the Investigation Team emailed the Directors from whom they had not received any contact. As of the date of this report, Mr. Hickman and Mr. Doyle have not contacted the Investigation Team, and they were not interviewed as part of the investigation. The Investigation Team exchanged voicemail messages and text messages with Diana Backhaus but did not conduct a formal interview with her before completion of this report.

Due to the nature of the Allegations, lack of any temporal limitations associated with certain Allegations, and to ensure a fair and thorough investigation, the Investigation Team interviewed a wide array of BECi employees and endeavored to interview the individual(s) and/or representative members of all departments suggested by the other witnesses as potentially having relevant information and/or documents associated with the Allegations and the investigation.



The interviews revealed the following situations described in more detail below.

1. Allegation that a Board member threatened an employee's future employment because they did not hire the Board member's relative. **Substantiated in part.**

The allegation that a Director made statements to an employee after the employee and others did not hire the candidate recommended by the Director, which the employee perceived to be a threat to the employee's future employment, is substantiated. J.R. Hickman is the Director alleged to have "threatened" the future employment of an employee due to her failure to hire a candidate for employment recommended by Mr. Hickman. Because the Investigation Team did not interview Mr. Hickman to learn his account of the relevant statements and events, we were unable to confirm whether Mr. Hickman intended his statements to be a "threat" to the employee's future employment. Nevertheless, we conclude that under the circumstances, it was reasonable for the employee to have perceived Mr. Hickman's statements and actions as a "threat."

The majority of employees interviewed reported that Directors routinely made recommendations with respect to employee hiring decisions, and some Directors asked that specific candidates be interviewed. Prior to Mr. Zelenak's hiring, it appears that Director recommendations were given at least a "courtesy" interview. Some employees said that some Directors were upset or angry if their candidate was not hired. The impressions of BECi employees differed as to whether or not Director-recommended candidates "must" or "should" be hired.

Multiple individuals interviewed provided specific information and documents in response to this Allegation, and their recollections were credible. The Interview Team also was provided (i) a copy of the employee's handwritten notes recorded at or shortly after the time of the incident, including notes taken immediately after a phone call with Mr. Hickman; (ii) the employee's phone records during the time frame of the alleged threats; and (iii) a copy of a text message exchange between the employee and a Director.

According to the employee, after the hiring decision was made (and Mr. Hickman's recommendation was not selected) another employee told her "Man, you really pissed JR off." Thereafter, at a legislative cookoff, Mr. Hickman made negative comments to the employee regarding the hiring decision, and he suggested she had filled the position before his recommendation was interviewed. Approximately one month after that interaction, the employee called Mr. Hickman in an attempt "to bring peace between them." The employee's handwritten notes recount the conversation between Mr. Hickman and the employee. In the course of their conversation, Mr. Hickman questioned the lack of attendance by the employee's department at an Association of Louisiana Electric Cooperatives' ("ALEC") training program. Mr. Hickman commented that maybe it was time to fire and rehire someone who would send someone to the program. The employee told Mr. Hickman that it was her decision to send or not send employees to the training program. In response, Mr. Hickman reiterated his sentiment that it was time to fire and rehire someone who would send employees to the training. The employee felt "[t]here was no mistake he meant me." It was the employee's impression that the comments were made because she did not hire Mr. Hickman's recommendation and that his intent was to intimidate her.

Other than the inability to obtain Mr. Hickman's version of the events and whether he intended his communication or the interaction as a "threat," we did not receive any information that indicates or confirms the employee's recollections are inaccurate. To the contrary, witnesses who met and/or spoke with the employee in the hours and days after the interactions at issue said

the employee was "upset" by the interaction and that Mr. Hickman gave the employee the "cold shoulder" after the incident and tried to paint the employee in a poor light before the Board.

2. Allegation that a Board member threatened an employee's future employment because of the employee's actions on BECi's Facebook page. **Substantiated in part.**

Tommy Cryar is the Director alleged to have "threatened" the future employment of an employee. The Investigation Team received copies of text messages between Mr. Cryar and an employee, which were alleged to constitute a "threat" to the employee's future employment, and copies of Facebook posts by Mr. Cryar and other Directors, including posts and messages to BECi's Facebook page and messages which were subsequently "hidden" or removed from BECi's Facebook page. After review of the documents provided, we conclude that, under the circumstances, a reasonable employee in the employee's position could have perceived Mr. Cryar's text message and/or statements as threatening to her future employment.

The "hidden" Facebook messages were comments by Mr. Cryar and Mr. Hickman on a BECi Facebook post that appeared critical of BECi and/or BECi employees. Mr. Cryar was interviewed and recalled an interaction with the employee after she "took something off Facebook." Mr. Cryar admitted that he told the employee it "would not be tolerated" and that he raised the issue with the Board during a Board meeting.[3] Mr. Cryar recalled stating something like he "just want[ed] people to do their job," which he acknowledged, in retrospect, was wrong. Although Mr. Cryar said he did not say this directly to the employee or use her name, he recognized it was clear that his comment was directed at that employee. Mr. Cryar said he apologized to the employee, which the employee acknowledged in her interview.[4] Mr. Cryar was specifically asked if he viewed or intended his statement(s) as a "threat," and he said it was not a threat and did not want it to be viewed as a threat. The Investigation Team did not receive specific information to refute Mr. Cryar's statements on this topic and did not receive any information indicative of Mr. Cryar's intent at the time the statements were made. After investigation, based on the text messages reviewed, as well as the recollections of other Directors and the former General Manager,

[3] During the interviews, multiple Directors shared their general frustrations with the pace with which information was posted to BECi's Facebook page at the time, and a special Board meeting was convened. The former General Manager did not believe the Board's expectations were reasonable, and he expressed his anger with the Board's treatment of employees, including the employee described above. Multiple employees and Directors said they believed Mr. Cryar's conduct (and that of other Directors) during the special Board meeting prompted the former General Manager to tender his resignation. The former General Manager corroborated this understanding.

[4] That employee also told the Investigation Team that other Directors apologized to her for their conduct during the special Board meeting; however, one Director, who the employee also believed acted out of line toward her during the meeting, never apologized to her for his conduct or otherwise addressed his behavior during the meeting. Because we were not able to interview that Director, we cannot confirm or refute the employee's statement.

we believe it is more probable than not that statements were made to the emp employee in her shoes may perceive as a threat to her future employment.

3. Allegation that both past and current Board members directed BECi staff to build them outdoor furniture at BECi's woodworking shop on Company time and "directed to deliver" on Company time. **Inconclusive.**

Notwithstanding exhaustive interviews and specific questions to each witness on this topic, we were unable to substantiate this Allegation.[5] Employees' use of the woodworking shop for their personal projects was confirmed by several employees, although it appears such conduct has ceased under Mr. Zelenak.

The Investigation Team received information that this Allegation originated from a Director and was reported to the General Manager. Another Director reported that he heard about facts supporting this Allegation through another Director, but that other Director was interviewed and specifically denied any knowledge of facts supporting this Allegation. If a Director has specific information and/or evidence to substantiate this allegation, he or she should disclose it. We received only speculation with respect to whether the alleged woodworking activity for Directors occurred and, if so, whether it was on Company time or the employees' personal time.

No employee we interviewed had specific information to support this Allegation. The now-former employee with oversight over the woodworking shop denied having any interactions with the Board; denied the Board called him; and denied the Board asked him to do any projects for them. However, we did not find that employee entirely credible. Much of his responses appeared to be evasive. Therefore, his lack of information was not dispositive, nor did the information he provided persuasively refute the Allegation.

In particular, multiple employees reported having heard rumors related to this Allegation, and some employees said they believed the rumors to be true or worthy of belief, based on other things the employees experienced and other actions by Directors. The sentiment among employees was that, based on the historical conduct of the Board, it would not be surprising for this Allegation to be true. According to the employees who said they heard rumors, [redacted] and [redacted] were the Directors associated with the rumors. [redacted] denied any direct knowledge of this Allegation and said he did not know if the wood working shop was still active when he joined the Board. In any event, the anecdotal information we received suggests the conduct, if it occurred,

[5] Without specific direction, the Investigation Team does not believe interviewing every BECi employee and former employee would be the best use of BECi's resources. The Investigation Team received the names of former employees who may have information regarding this allegation, but other information received regarding those former employees, and in view of their separations from employment, called into question the credibility, motivation, and/or objectivity of such individuals and/or whether pertinent information would be obtained to justify the expenditure of additional resources and time required to do so.

was well in the past. We received no specific or concrete information or evidence to suggest the conduct is ongoing.

Relatedly, the Investigation Team received credible information to substantiate that some Directors requested or directed employees to perform personal tasks for the Director(s) and that such tasks were completed while on Company time. In particular, credible information was provided that Mr. Sonnier requested an employee fill out his personal tax paperwork. On interview, Mr. Sonnier confirmed that he made this request; however, he viewed his request as a friend asking a friend for a favor. The employee Mr. Sonnier requested assistance from did not report feeling intimidated or threatened by the request, but at the direction of Mr. Zelenak, the employee did not complete Mr. Sonnier's tax paperwork. Additionally, there were reports that Directors requested help from the IT department with personal tasks at their home (such as internet connection, troubleshooting printer issues, and basic computer assistance). The requests were not described as direct intimidation, but an employee explained that, at the time, he could not have denied the request; the expectation was that if a Director asked for something, you did not say "no."

Also, when asking witnesses about personal deliveries alleged to have been made on Company time, the Investigation Team received information regarding alleged deliveries of utility poles and preferential treatment. According to multiple employees, when a pole is taken out of service, it is first offered to the landowner. If the landowner does not want the pole, the pole generally returns to BECi, and members can be placed on a waiting list to receive poles. According to several employees interviewed, the Board can bypass this waiting list, and one employee said employees are or were aggravated by that process. This appears to be a red herring with respect to any allegation of potential misuse of BECi resources, time, or property, but is viewed by the Investigation Team as a symptom of the sentiment among many employees that there is or was a sense of entitlement by the Board and/or culture of privilege or preferential treatment.

4. Allegation that a Board member received free electricity for multiple years for multiple outdoor lights installed on their premise. **Substantiated in part.**

Based on records reviewed and information provided to the Investigation Team, the allegation that a Director was not charged for lights on his property for a period of time was confirmed. However, we were unable to substantiate any component of the Allegation that would attribute nefarious intent, cast blame, or impose fault for what may have been an oversight.

J.R. Hickman is the Board member alleged to have received multiple years of free electricity and/or failed to have paid for certain outdoor lights on his property or property owned by him. An employee said she learned certain lights were not included on Mr. Hickman's account, and the lights were subsequently added to his account. The Investigation Team's understanding is that a service or repair order was put in for outdoor lights on Mr. Hickman's property, after which it was discovered that the lights did not appear on Mr. Hickman's account. The lights were alleged to have been installed years ago (which the Investigation Team believes is likely correct and contributed to difficulties in obtaining credible information to fully substantiate this Allegation). Based on information provided by employees interviewed, rumors have circulated

regarding this issue, and there are secondhand accounts of what occurred after the issue was discovered. For example, one employee heard that Mr. Hickman "threw a fit" when he was told to pay for the lights. Although secondhand, it is consistent with information a Director told the Investigation Team. According to that Director, a retired employee told him that he (the retired employee) installed the lights at issue. The Director said Mr. Hickman said he (Mr. Hickman) told the now-retired employee to "report" the lights, presumably so that Mr. Hickman would be properly charged for the lights. From this alleged statement by Mr. Hickman, it appears there is truth to the Allegation that Mr. Hickman was not charged for electricity and/or outdoor lights for a period of time. Also, a Director told the Investigation Team that after the account was audited, and it was discovered that Mr. Hickman was not paying for the lights, Mr. Hickman reportedly did not think he should have to pay back-charges for the period in which he was not charged for the lights.

The Investigation Team received and reviewed records of Mr. Hickman's account, but from the records alone, the Investigation Team cannot tell whether Mr. Hickman received free electricity and, if so, for how long. The records simply show when the service was added to Mr. Hickman's account. However, based on the interviews conducted, it appears unrefuted that Mr. Hickman had lights on his property that did not appear on Mr. Hickman's bill for an unknown period of time. Because Mr. Hickman did not make himself available for interview, the Investigation Team can only make assumptions regarding what occurred and why the lights were not on Mr. Hickman's bill. Nevertheless, the Investigation Team finds it incredulous that a BECi member would not notice that he was not being charged for lights and/or services, particularly a member serving as a Director.

5. Allegation that a Board member received "preferential treatment" with regard to disconnection for non-payment or payment history. **Substantiated.**

The Investigation Team received information, records, and recordings that support the Allegation that certain Directors requested and received "preferential treatment" or exceptions to BECi policies and protocols for themselves and their constituents.

A Member Services Representative ("MSR") employee explained BECi's policy regarding NSF checks as follows: after submitting 2 NSF checks, a member is placed on a cash-only status. According to an employee with knowledge, [redacted] had an NSF history, but Mr. Hickman asked that [redacted] be allowed to continue to pay her bills by check, contrary to BECi policy. The employee asked her supervisor how to handle the request, and the supervisor told the employee to accept [redacted]'s check. Based on information provided by the employee, this request/practice was not an isolated occurrence. The employee's recollections and explanation were credible and are consistent with records the Investigation Team received and reviewed, which appear to show Mr. Hickman [redacted] history of not paying bills on time, submission of NSF checks, and the allowances or exceptions made for [redacted]

The Investigation Team also received credible and specific information that Directors attempted to use their influence to obtain exemptions/exceptions to disconnect procedures and other BECi policies for the Directors' constituents or friends (but not for the Directors themselves). We received credible information that Directors frequently called MSRs and asked for favors for BECi members, including requests that the member not be charged a disconnect fee or that late charges be removed. The requested actions were in contravention of BECi policy, and to comply with some requests, system overrides had to be made. According to an employee with specific knowledge of facts supporting this Allegation, she initially denied the Directors' requests because they violated policy, but she was later told to do as requested. According to the employee, she was afraid she could lose her job if she reported her concerns to the then-General Manager. Ultimately, the employee's supervisor told the employee to do as the Director asked, but to make a note in the system of the action and reason (for example, "late fee waived per [Board member/management/etc.]"). The Investigation Team found the employee credible and received no information to suggest this did not occur. The Investigation Team received audio recordings of telephone calls that further substantiate that Directors requested certain preferential treatment for their constituents.

In addition to calling Members Services, Directors also called System Operations to request policy exceptions and/or favors for their constituents. According to information provided by employees and gleaned from the audio recordings, it is our understanding that Directors requested the "fast-tracking" of certain projects and permits, prioritizing of a particular area over another, etc. According to one employee with knowledge, his crews then had to be reorganized to accommodate the Directors' requests.

We also received information that, in addition to the Directors calling BECi employees to request exceptions, favors, etc., BECi members have called the MSRs and requested preferential treatment, citing representations the Directors allegedly told the members (e.g., "[Director] sent me and said you would take care of me."). Based on the information received and credibility of the employee's accounts, we believe it is probable that this occurred.

6. Allegation that Board members called system operations and directed them to move linemen from where they were working on outages to restore power to that Board member's relatives, family, and close friends before other members. **Substantiated in part.**

The Allegation that Directors called dispatchers and others and interfered with the work of System Operations was substantiated. All dispatchers and other witnesses we interviewed provided credible firsthand accounts and specific examples of instances when Directors called System Operations. Other employees had secondhand information related to this Allegation but nevertheless had heard about the Directors' calls to System Operations, and it was fairly well-known that this conduct occurred. According to the employees interviewed, Directors regularly called the "911 line" to provide information to the dispatchers and to request updates regarding outages and other occurrences. According to dispatchers and others, this was particularly problematic because the dispatchers could miss calls regarding emergencies and/or such emergency-related calls could be delayed while the dispatcher was on the phone with a Director

on the "911 line." Some of the Directors interviewed admitted that they called System Operations to let the dispatchers know about outages and to request information.

In addition, according to information provided by multiple employees (including all dispatchers), some Directors also called the dispatchers to direct their work and/or the movement of linemen on behalf of their friends or constituents. Based on the information provided, it does not appear that the majority of such calls were for the purpose of redirecting linemen to locations where the particular Director or his family lived. However, one dispatcher said a Director called whenever the Director's own lights went out, and he "fusse[d]," and "pushe[d] to get someone out right then."

The dispatchers also told the Investigation Team that Directors got upset when the dispatchers did not answer their calls. According to the dispatchers, the Directors' calls were a distraction when the dispatchers needed to pay attention to the linemen. The calls also created potential safety concerns. We received anecdotal information that one dispatcher was so frustrated by a Director's call that he researched Board ethics to determine if a violation occurred. A different dispatcher described a telephone interaction with one Director as "harassment" and interactions with another Director as "borderline harassment." Another employee with secondhand information of the calls labeled the Directors' calls as "intimidation."

In addition, the dispatchers said the Directors' calls were problematic because the Directors, on occasion, posted to their Facebook accounts a different version of events and/or different information than what the dispatcher relayed to the Director, and misinformation was circulated to the public. One employee described a specific instance in which a Director posted that an outage was a "planned outage," which was not correct. The employee said he was frustrated that there were no repercussions for the Director.

The dispatchers were told by their supervisor that they did not have to answer Director calls, and the calls have not occurred since the current General Manager has been in his position. Multiple Directors indicated that their calls to dispatchers were prompted by member inquiries. As we understand it, the new text messaging alert system has further reduced (or is expected to reduce) the volume of member inquiries to Directors, thus the need for calls to the dispatchers to provide or request outage information should likewise be reduced or eliminated.

7. Allegation that at least one Board member is encouraging linemen to unionize in order to blame it on the new General Manager. **Not Substantiated.**

The Investigation Team received no information regarding current discussions of unionization efforts, and the Allegation could not be substantiated. One witness stated an employee "let it slip" in conversation that two Directors were trying to "plant a seed" to unionize among linemen. We interviewed one of those two Directors, but he denied any knowledge. That Director was not particularly credible on several topics discussed, but another employee with direct interaction with the linemen also denied having heard any information to substantiate the allegation.

8. Ancillary Issues:

While investigating the Allegations, additional topics were discussed with the witnesses, which came up and/or were in response to information provided to the Investigation Team by other witnesses. Although not specifically raised in the Allegations, we wanted to bring these ancillary issues to your attention.

a. Directors' Social Media Activity; Impact on Morale; Safety Concerns and Other Consequences.

Multiple employees shared their frustrations and concerns regarding certain Directors' Facebook posts and the impact of such posts on employee morale, the work environment, and the employees' sense of personal safety while at work and in the community. The employees' reports were credible, and, at times, the employees became emotional.

- Multiple employees reported that certain Directors' posts undermined BECi employees' jobs, and they viewed certain posts as "throwing [the employees] under the bus."

- Among the employees interviewed, there is a belief that the Directors created a "ruckus" or "circus" on Facebook, and as a result of the Directors' posts, BECi employees have been confronted by BECi members in public. Employees further reported that they will not wear BECi apparel or other identifying paraphernalia in public for fear of confrontation. The employees blame the Board for what they have encountered in public. For example:

    - One employee was confronted while at a doctor's office. The office staff called the employee to the back of the office so that he would not have to wait in the waiting room. Among other comments, the employee was told they were going to start egging the employee's truck.
    - According to that same employee, on one occasion when he met with a member offsite, the member told the employee that he (the member) wanted to hang Mr. Zelenak from a tree.
    - Other employees reported that a BECi employee was coaching his or her child's basketball game and received comments from the public regarding the employee's affiliation with BECi and high electric bills.

- Due to the policies governing BECi employees, the employees cannot defend BECi on social media. The majority of employees who discussed this topic observed that, if they posted on social media like the Board has done, they would be disciplined (and likely fired).

- In addition, multiple employees shared specific frustrations that Directors have posted misinformation on Facebook, and the employees cannot do anything to correct the Director's post or the misinformation disseminated.

The Investigation Team was provided screenshots and printouts of numerous Facebook posts, which substantiate the information provided by the employees and raise questions and concerns regarding (i) certain Directors' judgment, (ii) their understanding and/or appreciation of their fiduciary duties and/or other obligations they owe BECi as Directors, and (iii) their understanding and/or appreciation of the overall consequences of their actions, including potential legal exposure to BECi and personal legal exposure.

Also concerning to the Investigation Team is the fact that, during their respective interviews, more than one Director appeared to minimize or mock the employees' current concerns regarding their personal safety. Nearly all employees interviewed contradicted those Directors' perceptions, and the Investigation Team found the employees' reports, recollections, and opinions to be credible. The employees provided specific examples of their own or coworkers' concerns, confrontations, and/or uncomfortable situations in public. Moreover, contrary to any possible assumptions or stereotypes associated with the Directors' beliefs regarding the reported concerns, we note that male and female employees, and "inside" and "outside" employees, described reactions to the Directors' social media activity, and the sentiment that the posts impacted the work environment and employee morale was near unanimous.

In addition to causing concern to employees, the Directors' Facebook activity has reportedly also caught the attention of at least one of BECi's corporate customers. One employee reported that a very large BECi customer recently brought up the current Facebook frenzy among Board members to him. Although the employee said he was not concerned about continued business with that customer, it was concerning to him that such issues reached large BECi customers.

b. Abuse of Power or Perceived Abuse of Power.

In discussing the Allegations, multiple employees made comments and/or expressed opinions to the Investigation Team which suggested a belief that the Board abused its powers and/or took advantage of its authority. For example:

- As described above, an employee provided credible and specific recollections of Directors' requests for exceptions from, or preferential treatment in violation of, BECi's policies and/or procedures, but the culture at that time supported catering to the Directors' requests.
- Another employee said there was an unspoken expectation that you did what was asked, or there would be consequences.
- An employee opined that it seems there are no rules for the Board.
- Multiple employees expressed frustrations that there are no repercussions for the Board.

- One employee stated that, until recently, employees were under the perception that the Board was "in charge." Employees did not previously understand the chain of command or the Board's authority with respect to the day-to-day operations.

We recognize that some employees, whether because of their job or personal relationships with Directors, stated they feel/have felt comfortable "pushing back" or telling a Director "no." However, that appears to be the minority view. Instead, the majority of employees stated and/or provided anecdotal information to illustrate that, until recently, the BECi culture did not support telling certain Directors "no."

c. Promising a Promotion to an Employee.

Multiple individuals said that one or more Directors worked closely with an employee who applied for the General Manager position, presumably to help the employee get the job (which the employee did not get). The Directors interviewed identified two Directors ([redacted] as the Directors most likely to have (a) prepared the employee for his interview for the General Manager position and/or (b) promised the employee the position. The Directors interviewed did not have direct knowledge or evidence that such conduct occurred; however, based on the employee's performance during the interview process, it was, according to those Directors, unquestionable that the employee was provided an unfair advantage. On interview, [redacted] denied promising this employee the job, but he said he believed a Director helped the employee prepare for the interview and promised the employee the General Manager position. The Investigation Team interviewed the employee alleged to have been promised the General Manager position and asked him whether a Director promised him the job. The employee specifically denied having been promised the job, but other employees reported the employee behaved as though he would get the job.

d. Unprofessional and Inappropriate Conduct.

We received information from various sources regarding alleged unprofessional behavior and/or comments by certain Directors. For example:

- An employee said a Director called her "sexy mama" within the past year. The employee did not feel "threatened" by the comment, but she was "embarrassed" and told her supervisor about the interaction. According to the employee, her supervisor told her the comment was "very inappropriate." The employee did not report the comment for various reasons, including that she believed the Director is "vengeful."

- An employee said a Director called her and another employee the "prettiest two girls at BECi," which the employee said was a "bit uncomfortable." We did not receive specific information regarding when that comment was made; however, it was reported to have been made in the presence of a former Board member, which suggests the comment likely was not made within the last year.

- An employee recounted that a Director referred to her by names such as "gal," which she felt was disrespectful.

- The former General Manager said a woman in the office reported to him that she felt a particular Director was too friendly or "huggy." He directed that individual to report her concerns to the HR department, but he does not believe a report was ever made.

- An employee said a Director gave her $20 "for no reason." She said the Director told her to buy herself lunch and said something to the effect that he could "depend" on her.

- We also received multiple accounts of "yelling" between certain Directors and various VPs.

- During the interviews, there were multiple references to a "good ole boy system."

- The audio recordings provided to the Investigation Team included recorded calls between certain Directors and BECi employees, during which racial slurs and other inappropriate language was used. The calls appear to have occurred in the recent past (within the past few years).

Although outside the scope of this investigation, we do not believe it likely that a judge or jury would find the above statements, without more, constitute actionable sexual or racial harassment. However, that may be immaterial to the "court of public opinion," which may seek to hold BECi and/or individual Directors accountable for any inappropriate statements and/or conduct. At a minimum, the language and actions reported are inappropriate and, if true, would violate BECi's policies.

e. Distrust and Suspicions of Directors.

Additionally, there were multiple reports of suspicions that a Director is purposefully acting against the interests of BECi in an effort to force a sale to Entergy or CLECO. These reports are outside the scope of our investigation, and the Investigation Team did not specifically investigate these reports. Moreover, we did not receive any information to corroborate or confirm this suspicion. We note that no witness had actual information or knowledge to corroborate the reports; rather, the information relayed to the Investigation Team consisted of mere suspicions based on the current Board behavior. These suspicions were primarily based on recent Board activity on Facebook, as described above. Regardless of the veracity of these suspicions, it is concerning that Board behavior has caused such a sentiment and distrust among employees and other Directors.

In addition, some employees and Directors also expressed discontent with the Board's behavior and/or messaging to the public regarding management decisions. In particular, if after certain Board decisions were made, those decisions were deemed unpopular by the public, certain Directors then spoke negatively about the decision and portrayed the General Manager, other

Directors, and/or others as the "problem," in contravention of basic rules of governance and the functioning of a board. A few witnesses recounted specific Board decisions that initially were pushed or promoted by a certain Director, who then "flipped" their position after the decision was finalized. This was viewed by witnesses as disingenuous and politically motivated.

f. Perceptions Regarding the General Manager.

Finally, as a whole, the employees interviewed recognized that things have improved under the new General Manager. For example, some employees said Mr. Zelenak will be "good for BECi," and one employee said Mr. Zelenak "makes you feel hopeful." Another employee said Mr. Zelenak made the employee "feel heard," and the employee felt Mr. Zelenak would be "fair."

Nevertheless, multiple employees and others provided information that suggests Mr. Zelenak could and should make an effort to be more approachable. He was described as "stern" and "strictly business," and it was observed that his "delivery" and/or "demeanor" could be mistaken for a "lack of respect." The Investigation Team did not get that impression from Mr. Zelenak during his interview; however, we received information and examples of communications which may support this perception described by employees and others.

For example, it was reported that Mr. Zelenak cautioned employees that they will be disciplined if they approach or turn to the Board for human resources/personnel issues. We presume Mr. Zelenak's intent was to maintain or reinforce the chain of command, and many employees expressed a sense of relief and/or gratitude that Mr. Zelenak was acting to protect or insulate employees from Board contact, particularly the dispatchers. However, one employee viewed Mr. Zelenak's statement as a threat or cause for concern.

We also received information that certain changes to the manner in which the employee Health Savings Accounts ("HSA") are funded created friction and/or an impression among employees and others that Mr. Zelenak was "taking away" things from employees. While we are not second-guessing this personnel decision without more information, we note it might have been possible for Mr. Zelenak to explore other options, such as a program to loan or advance HSA funding to certain employees at the start of the year and/or offer a one-year transition period for any employee who may have depended on the prior method of funding the HSA when making arrangements for the current year.

CONCLUSIONS

With respect to the Allegations, based on the information and documents received and reviewed during our investigation, we believe it is more likely than not that (i) the conduct of certain Directors has caused multiple employees to feel "threatened" or concerned, including with respect to their continued employment, and under the circumstances, the employees' subjective beliefs or perceptions were reasonable; (ii) certain Directors have requested and received, both personally and on behalf of their constituents, preferential treatment with respect to disconnect or non-payment, in violation of BECi policies, practices, and/or procedures; (iii) some Directors have

abused their power in calling System Operations to direct dispatchers to move linemen, and through such calls they have, at a minimum, also disrupted the dispatchers' work during an outage or similar event; (iv) the conduct of certain Directors on Facebook has impacted employee morale, undermined some employees' jobs in the eyes of the public, created a more tense working environment for many employees, and has caused some employees to feel threatened in public due to their association with BECi; and (v) until recently, there was a sentiment among many employees that Board members had authority (either directly or indirectly) over BECi employees; thus, those employees felt compelled to obey Board direction.

Based on the factual findings of the investigation and the conclusions stated herein, the Board's conduct appears to have violated a number of BECi policies, including Board Policy Nos. 103, 104, 402, and 402a. We did not find evidence to support any allegation of theft, misuse of assets, or criminal behavior. However, many of our conclusions implicate a possible failure of the Directors to act in good faith and in a manner consistent with their fiduciary duties owed to BECi as Directors.

Practically speaking, actions described above show that certain Directors have asserted their influence in BECi's day-to-day operations, in violation of Board Policy No. 103. Those Directors inserted themselves in employment matters, and there is or was a perception that BECi Directors could influence the future employment and/or employment opportunities of BECi employees (regardless of whether they actually did). The fact that the Investigation Team received no credible evidence (only speculation and hearsay) that any Director acted on any threat is not dispositive. One employee analogized to a parent threatening to "whip your ass" but never doing so.

In addition, with regard to the requests for "preferential treatment," the perceived or implied consequences of denying such requests, and the resulting violation of BECi's internal policies, practices, and procedures, we conclude that the requests, irrespective of the individual Directors' intent, created a perception among some BECi members that Board intervention was needed and/or helpful in obtaining certain favors or preferential treatment. Likewise, the Facebook posts by certain Directors could further undermine the public's perceptions of the work performed by BECi employees.

We note that each Director was elected by their constituents to serve on BECi's Board. They serve in a representative capacity, and their conduct reflects directly on BECi, both internally and externally. Each Director has a duty to act in good faith and in a manner the Director reasonably believes to be in the best interest of the Cooperative. The power to act on behalf of the Cooperative is given not to individual Directors, but by the Directors acting in concert as a board of directors. *See, e.g.,* La. R.S. 12:409(A)(i). Individually, any Director has no greater authority than another Cooperative member. Statements made in interviews, as well as the alleged and

reported actions of certain Directors, evidence, at best, a misunderstanding or misappreciation among certain Directors of these precepts and the duties of Directors.

RECOMMENDATIONS

Based on the Investigation Team's findings and conclusions stated above, we recommend the following:[6]

1. To address actual or potential violations of BECi's policies, Directors should be held accountable for their actions. The Code of Ethics applies to the Board and must be enforced. As a Board of Directors elected by members, there should be a mechanism for the Board to police itself and to impose consequences for violation of applicable policies and/or the failure to meet the expectations for a Director.

2. Once policies are updated to accurately reflect the reasonable expectations for a Director, and consequences are imposed to address any failure to meet such expectations or any violation of applicable policy, such expectations should be clearly explained to all Directors and specifically addressed with newly-elected Directors during Board orientation. Going forward, Directors should undergo periodic training on the expectations and policies governing Directors. Then, once on notice of expectations, Directors must be held accountable for meeting those expectations. Otherwise, and without any mechanism for reasonable repercussions, the policies and expectations are meaningless.

3. To address the conclusion regarding the Board's failure to adhere to Board Policy No. 103, perceived or potential abuse of power, and/or the micromanaging of employees and day-to-day operations, we recommend all Directors receive in-person training on Board governance to better understand their roles as Directors. The Board must remember to present a united front on member-facing matters and that they are charged with acting like a Board, not as individuals, when it comes to governance. To ensure that all Directors receive the same training and instruction, we suggest BECi explore the costs associated with hosting a training program onsite, where all Directors could participate in the same training module. In addition, the in-person training would facilitate visibility, in that it would allow Directors the ability to see each other receive the same training on these topics. Visibility is important for rebuilding trust and credibility.

[6] These recommendations are by no means intended to be a "gag order," as has been suggested in the context of prior efforts to impose limitations on certain communications and/or actions, or an effort to interfere with the rights of any individual. Rather, our recommendations reflect corporate best practices, taking into account the duties and obligations of each Director, and an effort to rectify and remedy the current issues, distrust, perceptions, and potential exposure we observed in the course of the investigation.

4. Many employees and some Directors requested that the Board implement and be bound by social media guidelines governing the Directors' use of social media, including posts on Facebook and other platforms. It was also recommended that the Directors participate in social media training. We agree with and adopt those recommendations.

   Social media policies and guidelines are a reality for most corporations and a best practice. Here, it is believed that certain Directors are unaware of how their social media activity is perceived by employees and how it impacts the perception and reputation of BECi and its employees in the community. As a result, we offer the following recommendations:

   A. The Board must understand that the purpose of a social media policy and associated guidelines is for the protection of the Cooperative, which is the entity to whom the Directors owe a fiduciary duty.

   B. The Board must also understand the potential sources of liability and risks of potential legal exposure which may result from their posts.

   C. In addition, and while social media can be a useful tool for sharing personal opinions and updates in some circumstances, with respect to BECi-related matters, the Board must refrain from posting or disseminating misinformation, confidential information, and/or information which has not been fully vetted or confirmed as accurate.

   D. Although the Board is charged with safeguarding the interests of BECi's members by, *inter alia*, "[o]btaining and maintaining member and public understanding and acceptance of BECi's mission, objectives, policies, and plans by ensuring *regular* dissemination of information" (Board Policy No. 102, Section 2.2.3) (emphasis added), "regular" dissemination of information does not equate with "immediate." Also, there is a distinction between disseminating information to BECi's members versus posting information to Facebook, which encompasses non-members, the public at large, and BECi's competitors.

5. We also recommend the Board undergo training on effective communication. In particular, it appears that some messages conveyed by Directors via text message, email, and social media platforms can be (and have been) misinterpreted, misconstrued, and perceived by employees and others as threatening or rude, even when the sender has stated he or she did not intend it as such. In the digital age where many communications are conducted through text message or email, it is particularly important that the Board be aware of how their messages may be perceived by the recipient. Based on information and documents received in connection with the investigation, we believe Mr. Zelenak and all BECi employees

would also benefit from training on proper and effective communications, as further detailed in recommendation no. 9 below.

6. To address the reports regarding inappropriate and unprofessional conduct and comments by some Directors, and to minimize the risk of actual or perceived harassment or retaliation, we recommend the Board undergo training on BECi's harassment and anti-retaliation policies. BECi's duty to provide a hostility-free work environment to employees extends to actions by Directors and others. It is believed that some Directors may lack an awareness of what may constitute unlawful or objectionable harassment under the law and in violation of BECi's policies. Like other leaders, the Directors should be expected to model appropriate behavior and expectations.

7. To address the reports and conclusions regarding the distrust and suspicions toward and among Directors, we suggest the Board explore engaging a team building consultant or similar program to help facilitate change in the current Board dynamic. Simply put, there needs to be better cohesiveness among the Directors. Information provided by Directors and others indicates a deep distrust of and among Directors. Such sentiments risk impeding the Board's productivity and its ability to act in the best interests of the Cooperative. While diversity in opinions is healthy for any collective body, if the differences cannot be overcome for the good of the Cooperative, the Directors cannot fulfill their obligations to the Cooperative.

8. To address reports that the Executive Session privilege is not honored, and information discussed or disseminated in Executive Session has been shared to others and on social media, we recommend the Board undergo refresher training on Executive Session, which should include discussion of the reasons for going into Executive Session, the meaning of Executive Session, and the consequences of violating the secrecy/protections of Executive Session. The Board must be cognizant of the appropriate use of Executive Session and should not overuse it as a shield to unnecessarily keep certain Board communications confidential.

9. Finally, based on reports from employees regarding Mr. Zelenak's tone, overall demeanor, and/or his delivery, it is recommended that Mr. Zelenak undergo training on effective communication, as well as cultural awareness training to better understand certain nuances in his new environment. Notwithstanding that certain personnel or operational changes may have been overdue, needed, and/or required by law or best practices, some changes or instructions were met with resistance or hesitancy from employees. For example, some employees stated they feared repercussions if they violate Mr. Zelenak's orders and some employees stated they felt Mr. Zelenak does not care or respect them. Although those statements appear to be the minority views among employees, in order to effectively manage the day-to-day operations of BECi, prior to implementing voluntary changes to long-standing practices, Mr. Zelenak would be well served to consider whether it is or

may be possible to make certain concessions or compromises to employees and to "pick his battles." He should also take care in his messaging to avoid any misinterpretation of his tone or the reason behind the change. Ultimately, employees may still disagree with the change, but they may nevertheless accept and respect the decision if they understand the reason for the change and feel heard and valued in the process.